

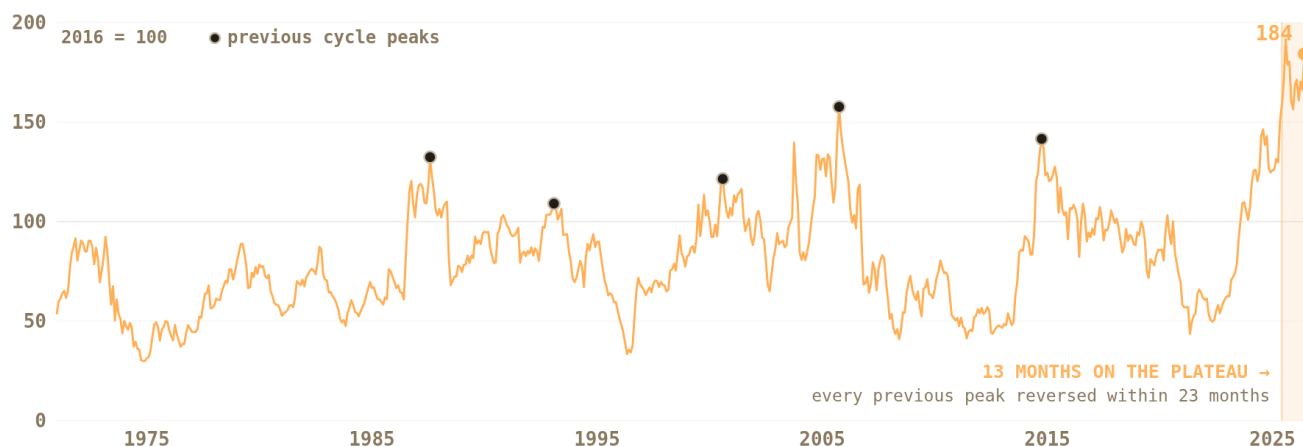
Our livestock customers are at their most profitable point in 55 years. It has never lasted.

Meat price divided by feed cost — the single ratio that drives a cattle producer's margin — for the United States, the European Union and Türkiye. Built from published national statistics, monthly, back to 1971 where the record allows.

THE BOTTOM LINE

- 1. Producers are at a record.** US meat-to-feed parity stands at 184 (2016 = 100). The twelve highest months in 55 years of data have all occurred since June 2025.
- 2. The peak has stopped climbing, and it is 13 months old.** The five previous peaks plateaued for 10 to 23 months — median 15 — before turning.
- 3. Every previous peak reversed, by 25% to 60%.** Not one held. The correction took two to five years, because it runs on herd rebuilding, not sentiment.
- 4. All three markets move together, not in sequence.** US and EU parity correlate at 0.88 with zero lag. Our customers in Europe and Türkiye are not two years behind — they are in the same cycle now.
- 5. The margin exists because the herd shrank.** The US cattle herd is 34% below its 1975 peak and the EU 33% below its 1980 peak — both at or near record lows. Türkiye is the exception, 6% off its 2020 peak and rising again in 2024.
- 6. Spend follows the margin, but the pool does not grow.** US veterinary spend per head tracks producer margin at $r = +0.70$ and rose 15% in real terms since 2008 — while the herd fell 9%, leaving the real pool up just 4% in seventeen years. In the EU spend per head does not respond to the cycle at all.

1 • WHERE WE ARE



US meat-to-feed parity, monthly, Jan 1971 – Jun 2026. Index: each country's own 2016 average = 100. Amber band = the current plateau (Jun 2025 – Jun 2026). Dots mark the five previous cycle peaks.

A producer's economics reduce, at the crudest level, to one question: how much feed does a kilo of meat pay for? In the United States that buying power is now **6.2 times what it was at the December 1974 low**. The measure is a ratio of two published price indexes, so it is meaningful as a comparison over time — not as a physical quantity of feed. The long drift upward reflects productivity. The **waves around that drift are the cycle** — and the cycle is what determines whether a customer is deciding between products or deciding whether to buy at all.

One thing worth naming early: most of this movement is the feed side, not the cattle side. Decomposing the year-on-year variance of the ratio, **84% comes from corn and 16% from cattle**. It is closer to a grain cycle transmitted into livestock economics than to a cattle cycle proper.

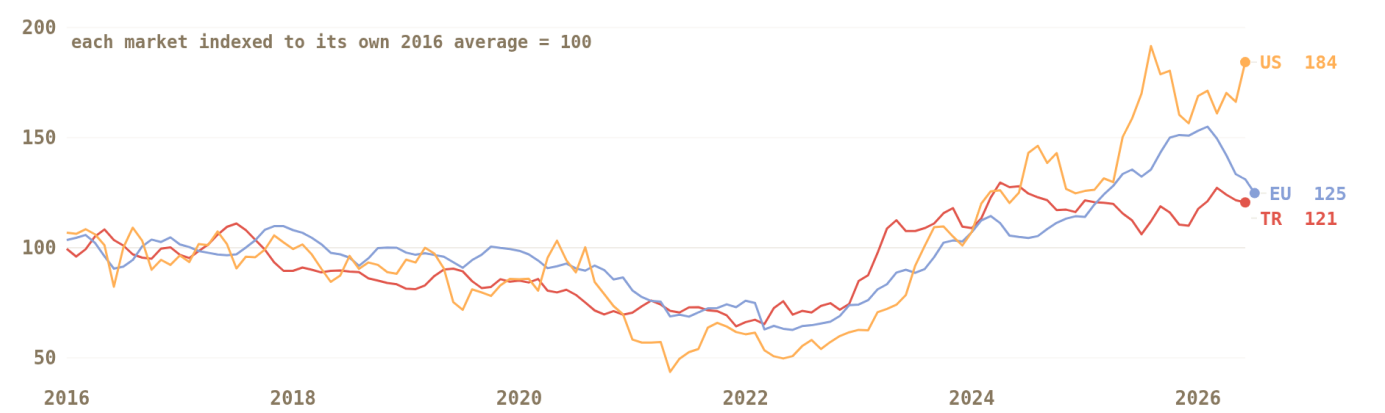
2 · WHAT HAS ALWAYS HAPPENED NEXT

Cycle peak	Plateau length	Then fell by	Over
1987	15 months	−34%	20 months
1993	13 months	−55%	38 months
2000–01	23 months	−26%	24 months
2005	17 months	−60%	35 months
2014–15	10 months	−35%	58 months
2025–26 (now)	13 months and counting	—	—

All figures on the twelve-month average: a cycle peak is a local maximum over ±18 months, the plateau is the run of months within 10% of that peak, and the fall is measured from the peak to the next low. Single-month spikes therefore do not count as cycles. On this pattern the current plateau is in its second half, though 2000–01 ran to 23 months. **The direction is well supported; the date is not.** Five observations is a small sample, and this peak sits far above any previous one, so it may behave differently.

Two caveats, stated plainly. First, parity is a ratio of price indexes, not a quantity and not a margin. Its level is set by the base year of the underlying indexes, so only changes and ratios between dates carry meaning. Second, in the United States the calf itself is also at a record price, so the feedlot's actual profit today is thinner than the ratio implies. Parity tells you the direction of producer economics reliably. It does not tell you the whole bill.

3 · WHO IS EXPOSED, AND WHEN



US, EU and Türkiye parity, indexed to each market's own 2016 average = 100. EU series begins Nov 2015, Türkiye Jan 2010.

Feed grain is priced globally, so the cycle is global. Testing the year-on-year change at every lag from −12 to +12 months, the strongest US–EU correlation is **0.88 at zero lag**; US–Türkiye peaks at roughly 0.6, also near zero lag. There is no leader and no follower — which means there is no early-warning window to exploit, and no market that gets to prepare while another goes first.

4 · HOW MANY CUSTOMERS, AND WHAT THEY SPEND

Parity measures what a producer earns *per animal*. The second question is how many animals there are — and that runs the other way.

Cattle numbers	Peak	2024	vs peak
United States	132.0m (1975)	87.2m	−34%
European Union	106.6m (1980)	71.9m	−33%
Türkiye	18.0m (2020)	16.8m	−6%

Producers have never earned more per head and there have rarely been fewer head. The two are the same fact: **scarcity is what makes the margin** — the correlation between US parity and herd size is −0.47 in the same year, turning positive (+0.31) three years later as the herd rebuilds.

Does the spending follow? In the United States, yes. Real veterinary and medicine cost per cow tracks producer margin at $r = +0.70$ — the strongest relationship anywhere in this study. It rose 15% in real terms between 2008 and 2025 while the herd fell 9%, so the total real pool grew 4% in seventeen years. The veterinary line has held at 2.3–4.9% of gross value throughout: producers spend a fixed share, so the pool tracks the size of their business rather than their willingness to spend.

Europe behaves differently. Real spend per head there has been flat for twenty years — 97, 96, 93, 95, 97 euros — and does not respond to the cycle ($r = -0.12$ against herd size). The likely reason is that European animal-health spending is programmatic and partly regulated rather than discretionary. **US revenue should therefore be cyclical and EU revenue defensive**, and a downturn should not hit them alike.

Two limits. The US figures are cow-calf (breeding) operations, not feedlots. The EU veterinary line covers all livestock rather than cattle alone, and no equivalent per-head cost accounts are published for Türkiye.

5 · WHAT THIS MEANS FOR US

The link from producer economics to producer spending is no longer an assumption — it is measured. What is still unknown is **which** lines move. When margin compresses, some spending is non-negotiable, some is deferred a season, and some is dropped. We do not have a documented view of which is which, and that is the remaining gap.

- **The window is now, not later.** Customers have cash today. Conversations about their cost structure are easier while they are profitable than after they are not.
- **A price move landing into a downturn behaves differently from one landing into a peak.** If the plateau breaks within the next two to three quarters, the phasing of the next increase matters more than its size.
- **Volume growth will not come from the market.** The real US pool grew 4% in seventeen years, and both the US and EU herds are a third below their peaks. Growth has to come from share, price or mix — and in head count, from Türkiye, the one market still expanding.
- **The decision we cannot yet make** is which parts of our portfolio sit in the deferred bucket when a producer’s margin halves. That requires customer P&L work, not more macro data.

Proposed next step: a short structured review with the livestock commercial teams — map our own sales through the last two downturns against this ratio, and rank the portfolio by what a producer defers first. Two to three weeks of work; the macro side is already done. **What would help most is an introduction to the livestock lead.**

SOURCES · US: Bureau of Labor Statistics (the US federal statistics office) producer price index, series WPU0131 (slaughter cattle) and WPU012202 (corn). EU: European Commission / Eurostat beef reference prices and compound feed. TÜRKİYE: TurkStat producer price indices TP.TUFE1YI.T17 and T25.

HERD · FAOSTAT cattle stocks (head) via Our World in Data, 1961–2024. VETERINARY SPEND · US: USDA ERS commodity costs and returns, cow-calf, US total, 1996–2025 (survey basis changed in 2008; no comparison spans it). EU: Eurostat Economic Accounts for Agriculture, item AM205000, 2005–2025, all livestock rather than cattle alone. DEFLATORS · US CPI-U (FRED CPIAUCSL); euro area HICP (FRED CP0000EZ19M086NEST).

METHOD · Full sources, formulas, robustness checks and limitations: [parite-sigir-metodoloji.html](#)

FULL STUDY · [parite-sigir.html](#) – interactive, 10 charts, including the feedlot P&L model.

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